PLATINUM INSURERS

WHAT WE HAVE WITH THE REINSURER — AFRICA RE 2027 TREATY PROGRAMME

14 November 2026 · USD

> **Status:** Africa Re has offered the terms below (via the broker). Our counter-proposal is being finalised. **Nothing is bound yet** — the treaty starts **1 January 2027**; CBL needs our treaty arrangements by **15 December 2026**. Existing policies need bridging cover until then.

1. PROPORTIONAL TREATIES — REINSURER SHARES EVERY RISK

CLASS	HOW IT WORKS	MAX PER RISK	EVENT LIMIT	COMMISSION TO US	PROFIT COMMISSION	CASH CALL	EST. PREMIUM (EPI)
Fire — Quota Share	We keep 30%, Africa Re takes 70%	100,000	500,000	27.5%	22.5%, ME 10%, LCFTE	40,000	70,000
Fire — Surplus	Above our 100,000: 9 lines	+900,000 (total 1,000,000)	—	27.5%	20%, ME 10%, LCFTE	40,000	70,000
Engineering — Quota Share	We keep 30%, Africa Re takes 70%	100,000	500,000	27.5%	20%	40,000	40,000
Engineering — Surplus	Above our 100,000: 9 lines	+900,000 (total 1,000,000)	—	27.5%	20%	40,000	40,000
General Accident — Quota Share	We keep 30%, Africa Re takes 70%	250,000	—	27.5%	20%	50,000	50,000
Marine — Quota Share	We keep 30%, Africa Re takes 70%	500,000	—	27.5%	20%	50,000	30,000

Commission = what Africa Re pays us on premium ceded. Profit commission = our share of their profit. LCFTE = losses carried forward with no time limit (we are asking for a 3-year cap). Cash call = single claim above which Africa Re pays its share immediately.

2. EXCESS OF LOSS COVERS — REINSURER PAYS ABOVE A SET AMOUNT

COVER	PROTECTS	COVER	REINSTATEMENTS	RATE	PREMIUM (AFRICA RE OFFER)
Motor XL	Each motor claim above our deductible	100,000 per claim xs 3,500 (yearly cap 200,000)	—	1.5%–15% (burning cost)	12,000 (Scenario 3: 7,500 deductible = 8,580)
Motor Catastrophe XL	Many motor claims from one event	1,500,000 xs 100,000	One @100%	2.77%	30,470
Fire & Engineering Catastrophe XL	Fire/flood/storm hitting many risks at once	1,500,000 xs 100,000	Two @100%	2.77%	30,471

Africa Re total XL premium offered: 72,941. Our counter (with the adjustments brief): 17,657.50.

3. WHAT IS AND IS NOT COVERED

COVERED BY THE TREATY

- Fire & allied perils (quota share + surplus + cat XL)
- Engineering / contractors' all-risks (quota share + surplus + cat XL)
- General accident & liability (quota share)
- Marine cargo (quota share)
- Motor — **excess of loss only** (working layer + catastrophe); motor is not in a quota share

NOT COVERED — HANDLE SEPARATELY

- **Bonds** — facultative, case by case, until brought into treaty (plan: 2029)
- **Life / group life / credit life** — no life treaty; needs life licence or a life partner
- **Health / medical** — no treaty
- **Travel** — no treaty
- Any single risk above 1,000,000 — facultative before binding (NASCO option for large risks)

4. OPEN POINTS IN OUR COUNTER

POINT	AFRICA RE OFFER	OUR POSITION
Loss carry-forward	No time limit (LCFTE)	Cap at 3 years on every class
Event limit (Fire, Eng QS)	500,000	3,000,000 (fallback 1,000,000)
Profit commission	20% (22.5% Fire QS)	22.5% all classes
EPI	300,000 total	455,000 total (realistic figures)
Cat XL premiums	30,470 / 30,471	8,310 Motor / 4,847.50 F&E (at 2.77%)